

ACHELION CAPITAL

ARMS Backtest Performance Report

Architecture AB | 58/20/14/8 | ARMS v4.0

Period: 2020-01-02 to 2022-12-30 | 755 trading days | 12 regime changes

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SCOPE: Market-driven engine only. Intelligence layer disabled. See Methodology page.

+115.5%	+109.5%	+23.8%	+91.7pp
ARMS Gross	ARMS Net (2%)	S&P 500	vs S&P Gap

Performance Summary

Metric	ARMS Gross	ARMS Net	S&P 500	QQQ	BTC
Cumulative Return	+115.5%	+109.5%	+23.8%	+25.5%	+138.2%
Annualized Return	+29.2%	+27.2%			
Annualized Volatility	22.5%				
Sharpe Ratio	1.26				
Max Drawdown	-33.8%				
2020 Return	+103.2%	+101.2%	+17.2%	+46.0%	+315.2%
2021 Return	+43.9%	+41.9%	+30.5%	+29.2%	+44.8%
2022 Return	-29.2%	-31.2%	-18.4%	-33.2%	-64.2%

Architecture & Costs

Initial Capital	\$500,000,000
Final NAV	\$1,077,656,375
Total Trades	575
PTRH Net Cost (Tail Hedge)	\$-2,604,354
PERM Income (Covered Calls)	\$26,976,301
LAEP Slippage (Execution Cost)	\$10,758,479
Avg Equity Allocation	37.3% (target 58%)
Avg Crypto Allocation	18.3% (target 20%)
Avg Defensive Allocation	8.3% (target 14%)
Avg Cash Allocation	36.1% (target 8%)

Regime Breakdown

PDS Status Breakdown

RISK_ON	593 days (78.5%)	NORMAL	425 days (56.3%)
WATCH	113 days (15.0%)	WARNING	70 days (9.3%)
NEUTRAL	24 days (3.2%)	DELEVERAGE_1	63 days (8.3%)
DEFENSIVE	0 days (0.0%)	DELEVERAGE_2	197 days (26.1%)
CRASH	25 days (3.3%)		

Methodology & Scope

Engine Modules Active in Daily Replay

All 18 market-driven ARMS production modules fired on each trading day of the period. Decisions were made strictly from price, volatility, credit, and macro inputs available as-of date. No look-ahead. No discretionary overrides.

Module	Behavior
Macro Compass	L2 4-input composite (VIX, HY spread, PMI, 10Y) -> regime score
ARAS	5-state regime classifier with hysteresis -> equity ceiling
PDS (Drawdown Sentinel)	NAV/HWM monitor -> NORMAL/WARNING/DELEVERAGE_1/DELEVERAGE_2
FEM (Factor Exposure)	AI Capex factor concentration -> WATCH/ALERT thresholds
CDF (Conviction Decay)	Underperformance counter -> 45/90/135-day weight decay
AUP (Asymmetric Upside)	5-condition gate for directional add-ons
SLOF (Synthetic Leverage)	C10-only, RISK_ON/WATCH-only 1.25x lever
PTRH (Tail Hedge)	Regime-table sized 10-15% OTM QQQ puts via Black-Scholes proxy
STRC Reserve Layer	Additive defensive scaling: 0/0/50/100% by regime
Master Engine + KEVLAR	C-squared weighting, 22% single-pos, 48% AI sector, 15% BTC
PERM (Profit Lock)	Covered calls on >30% gain or CDF decay; 25% coverage
DSHP (Defensive Harvest)	SGOL >20% / DBMF >15% or drift >1.5pp -> SGOV
ARES (Re-entry)	4 gate conditions, 3 VARES tranches, 48h spacing
LAEP (Execution)	3-tier VIX-adjusted slippage: 8/20/40 bps
Tail Hedge Regime Table	Coverage % and STRC reserve % per regime state
Architecture AB Allocation	58/20/14/8 sleeve targets enforced
CDM/Event Overlay	VIX-derived crisis floors: >60 -> 0.92, >45 -> 0.85
MICS (Conviction Scoring)	Static portfolio snapshot scores (per April 2026 book)

Modules Intentionally Disabled (Intelligence Layer)

Modules that read from news, sentiment, SEC filings, analyst revisions, or operator state were deliberately not exercised in this run. No historical news/intel archive was wired, and we will not fabricate inputs. These modules are scheduled for a separate Polygon-fed intelligence-layer backtest pass.

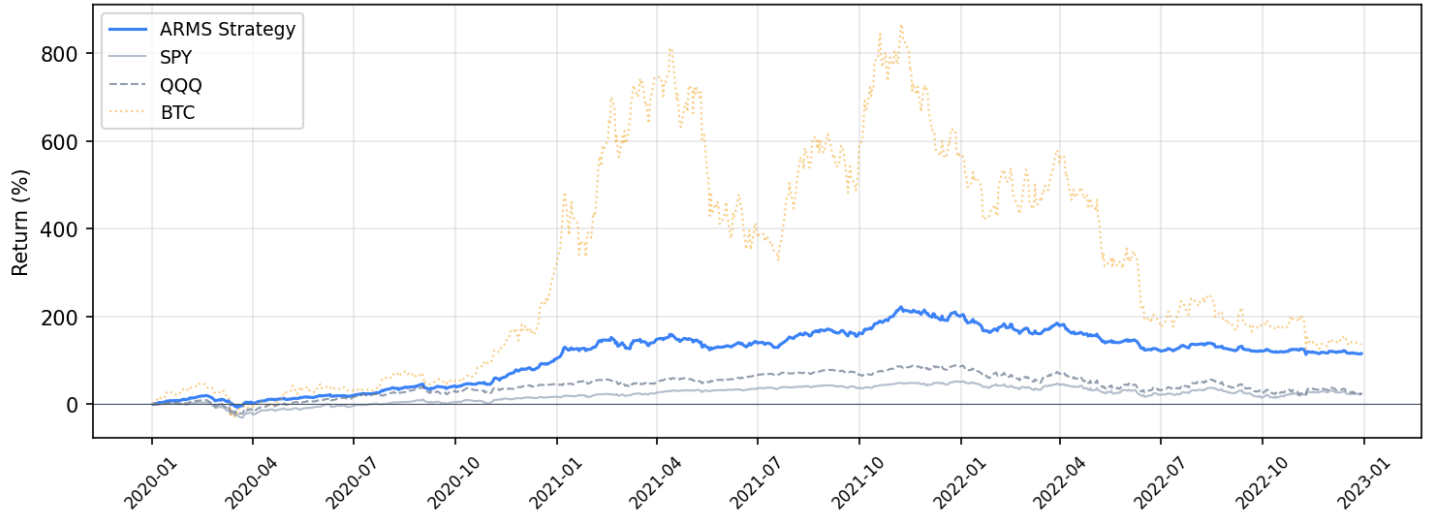
Module	Reason for Exclusion
MC-RSS / RSS bridge	News feed reactor
Sentinel bridge / SEC watchlist	Filings + macro event monitors
CDM (full)	Crisis Detection Module reading event feeds (VIX-proxy used instead)
PIM (Incapacitation)	Operator-state monitor (N/A in backtest)
TDC (Thesis Decay Calibration)	Needs analyst revision feed
Conviction Calibration	Dynamic MICS update from intel (static MICS used instead)
Systematic Scan	Universe scanner for new entries via catalysts
Thesis Retirement	Qualitative thesis-state monitor
Bridge Health / Paths	Connector telemetry (operational, not strategic)
Session Log Analytics	Meta-monitoring of operator sessions

Data Sources & Inputs

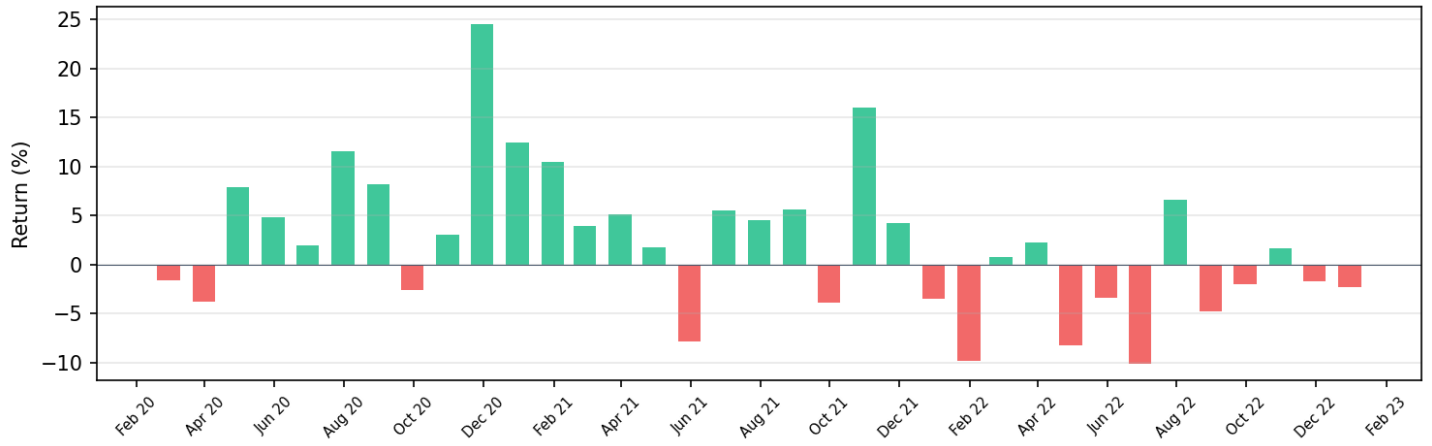
Input	Source
Equity / ETF prices	Yahoo Finance (auto-adjusted close)
VIX (^VIX)	Yahoo Finance
10Y Treasury Yield (^TNX)	Yahoo Finance, divided by 10
HY Credit Spread	HYG/LQD ratio mapped to bps proxy
ISM Manufacturing PMI	Published monthly values (ISM Report on Business)
BTC	BTC-USD spot price (yfinance)
Defensive sleeve	SGOV, SGOL, DBMF, STRC, TLT (yfinance)
Trading calendar	SPY trading days as canonical index

Performance Charts

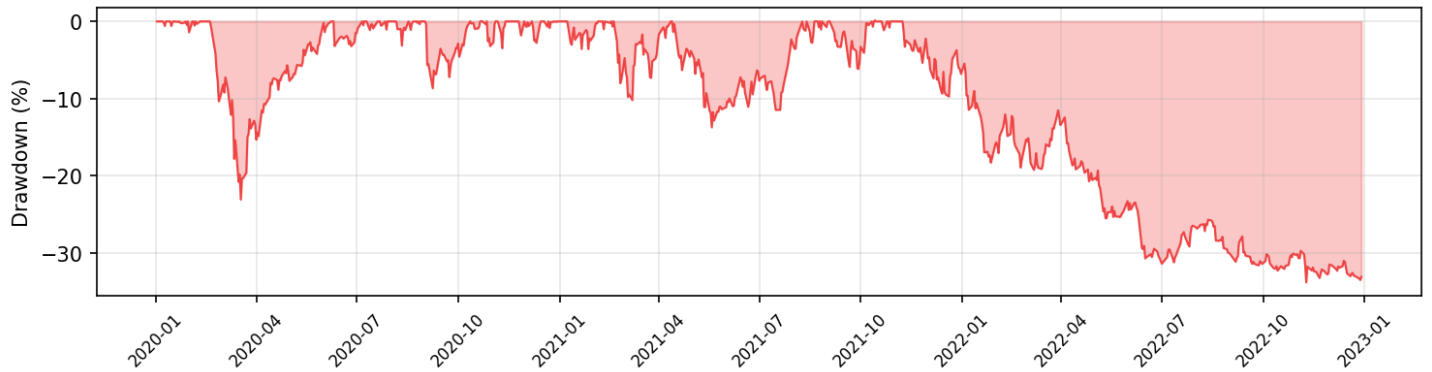
Cumulative Returns — ARMS vs Benchmarks



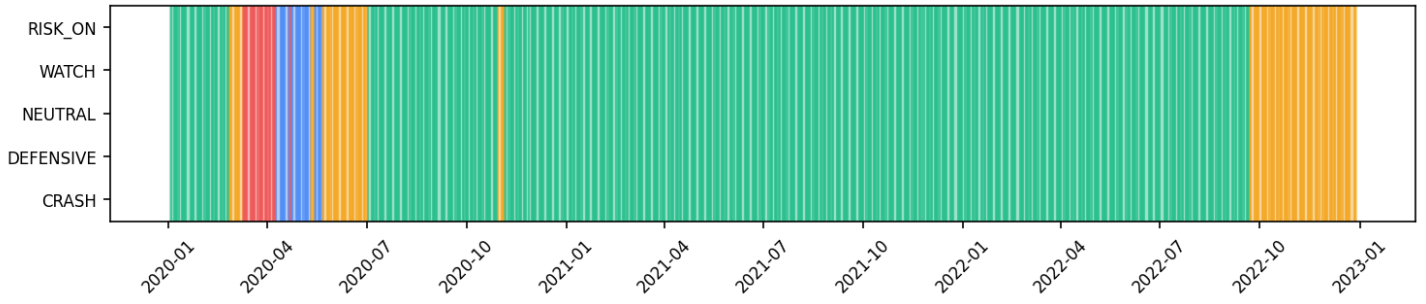
Monthly Returns



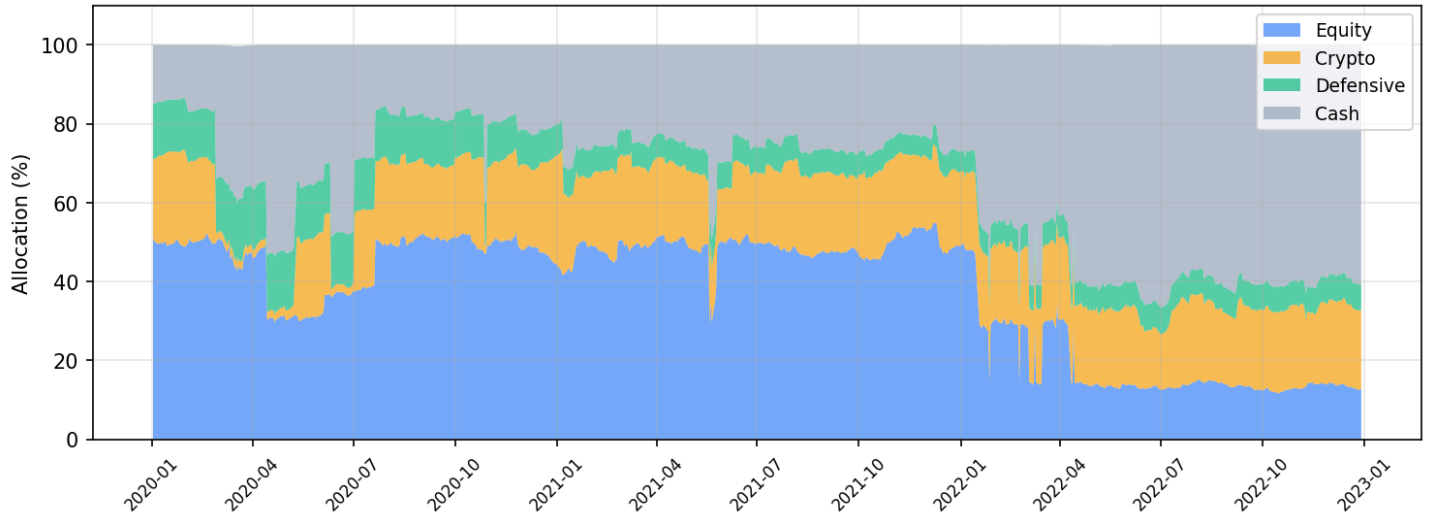
Drawdown from Peak



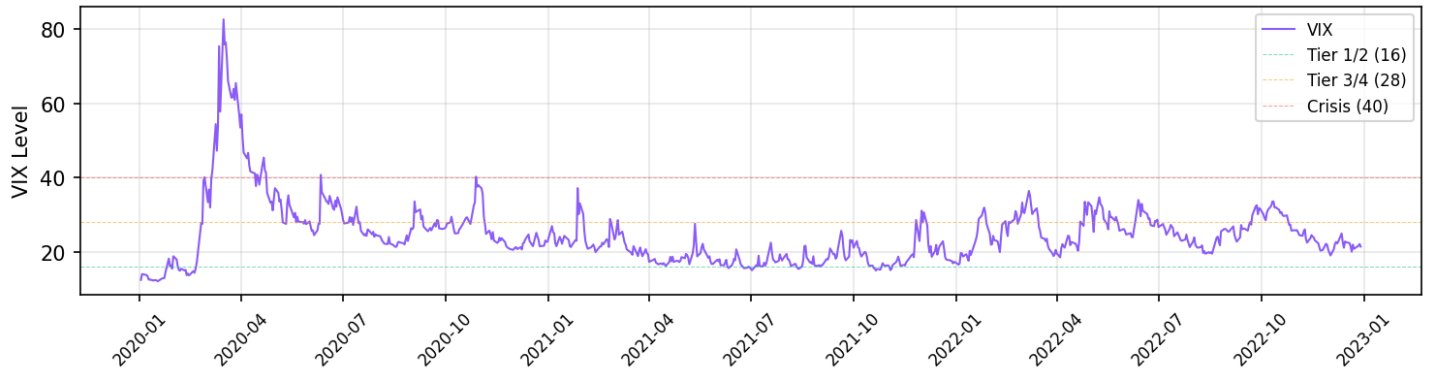
Regime Timeline



Portfolio Allocation Over Time



VIX & LAEP Execution Tiers



Monthly Detail

Month	ARMS G	ARMS N	QQQ	BTC	DEF%	SPY	Regime	Eq%	Cr%	Cash%
Jan 2020	+9.9%	+9.7%	+1.3%	+33.9%	13%	-1.0%	RISK_ON	49%	24%	14%
Feb 2020	-1.6%	-1.8%	-6.1%	-7.3%	14%	-7.9%	WATCH	50%	2%	34%
Mar 2020	-3.8%	-3.9%	-7.3%	-25.8%	15%	-12.5%	CRASH	47%	2%	36%
Apr 2020	+7.9%	+7.7%	+15.0%	+34.5%	14%	+12.7%	NEUTRAL	31%	2%	52%
May 2020	+4.8%	+4.7%	+6.6%	+9.0%	13%	+4.8%	WATCH	31%	20%	35%
Jun 2020	+1.9%	+1.8%	+6.3%	-3.2%	13%	+1.8%	WATCH	37%	2%	47%
Jul 2020	+11.5%	+11.3%	+7.3%	+23.9%	13%	+5.9%	RISK_ON	49%	22%	16%
Aug 2020	+8.2%	+8.0%	+10.9%	+3.2%	11%	+7.0%	RISK_ON	52%	19%	17%
Sep 2020	-2.7%	-2.8%	-5.8%	-7.7%	12%	-3.7%	RISK_ON	51%	18%	19%
Oct 2020	+3.0%	+2.9%	-3.0%	+25.6%	11%	-2.5%	WATCH	49%	20%	20%
Nov 2020	+24.5%	+24.4%	+11.2%	+44.9%	9%	+10.9%	RISK_ON	48%	22%	21%
Dec 2020	+12.5%	+12.3%	+4.9%	+47.8%	8%	+3.7%	RISK_ON	45%	27%	20%
2020 TOTAL	+76.2%	+74.2%	+41.5%	+178.8%		+19.1%				
Jan 2021	+10.5%	+10.3%	+0.3%	+18.3%	7%	-1.0%	RISK_ON	49%	18%	27%
Feb 2021	+3.9%	+3.7%	-0.1%	+35.0%	6%	+2.8%	RISK_ON	50%	21%	22%
Mar 2021	+5.1%	+4.9%	+1.7%	+27.1%	6%	+4.5%	RISK_ON	51%	20%	23%
Apr 2021	+1.7%	+1.6%	+5.9%	-2.0%	6%	+5.3%	RISK_ON	49%	20%	26%
May 2021	-7.9%	-8.0%	-1.2%	-38.2%	7%	+0.7%	RISK_ON	50%	13%	30%
Jun 2021	+5.5%	+5.3%	+6.3%	-1.8%	6%	+2.2%	RISK_ON	50%	18%	26%
Jul 2021	+4.5%	+4.3%	+2.9%	+20.5%	6%	+2.4%	RISK_ON	47%	24%	23%
Aug 2021	+5.6%	+5.5%	+4.2%	+11.7%	6%	+3.0%	RISK_ON	48%	20%	27%
Sep 2021	-3.9%	-4.0%	-5.7%	-7.2%	6%	-4.7%	RISK_ON	47%	19%	27%
Oct 2021	+16.1%	+15.9%	+7.9%	+42.1%	5%	+7.0%	RISK_ON	50%	21%	24%
Nov 2021	+4.2%	+4.0%	+2.0%	-8.4%	5%	-0.8%	RISK_ON	53%	18%	23%
Dec 2021	-3.5%	-3.6%	+1.2%	-18.8%	5%	+4.6%	RISK_ON	49%	19%	27%
2021 TOTAL	+41.9%	+39.9%	+25.2%	+78.5%		+26.1%				
Jan 2022	-9.8%	-10.0%	-8.7%	-16.9%	6%	-5.3%	RISK_ON	30%	19%	45%
Feb 2022	+0.8%	+0.6%	-4.5%	+12.2%	6%	-3.0%	RISK_ON	29%	20%	45%
Mar 2022	+2.2%	+2.1%	+4.7%	+5.4%	6%	+3.8%	RISK_ON	30%	21%	43%
Apr 2022	-8.2%	-8.4%	-13.6%	-15.2%	6%	-8.8%	RISK_ON	13%	19%	61%
May 2022	-3.4%	-3.6%	-1.6%	-17.7%	6%	+0.2%	RISK_ON	14%	21%	60%
Jun 2022	-10.1%	-10.3%	-8.9%	-37.8%	7%	-8.2%	RISK_ON	13%	14%	66%
Jul 2022	+6.6%	+6.5%	+12.6%	+20.3%	6%	+9.2%	RISK_ON	14%	22%	57%
Aug 2022	-4.8%	-5.0%	-5.1%	-15.8%	6%	-4.1%	RISK_ON	14%	18%	62%
Sep 2022	-2.0%	-2.2%	-10.5%	-3.1%	6%	-9.2%	WATCH	12%	20%	61%
Oct 2022	+1.7%	+1.5%	+4.0%	+5.5%	6%	+8.1%	WATCH	13%	21%	60%
Nov 2022	-1.7%	-1.9%	+5.5%	-16.2%	6%	+5.6%	WATCH	14%	21%	58%
Dec 2022	-2.3%	-2.5%	-9.0%	-3.1%	7%	-5.5%	WATCH	13%	20%	61%
2022 TOTAL	-31.2%	-33.2%	-35.2%	-82.2%		-17.2%				

Monthly Forensic Breakdown

The pages that follow give one full page per month of the backtest. Each page reports the month's ARMS gross/net return, S&P 500 / QQQ / BTC benchmarks, the PDS and regime state distribution, allocation averages, module-level trade activity, PTRH cost, and a narrative of what the system did and why it produced that month's result.

January 2020

2020-01-02 to 2020-01-31 | 21 trading days | NAV \$500.0M -> \$549.3M

+9.87%	-0.97%	+1.35%	+10.84pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+9.87%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+9.70%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-0.97%	Avg Equity %	49.7%
QQQ	+1.35%	Avg Crypto %	22.8%
BTC	+33.86%	Avg Defensive %	13.4%
Gap vs SPY	+10.84pp	Avg Cash %	14.1%
Gap vs QQQ	+8.52pp	PTRH Cost (month)	\$2,600
Month Low DD	-1.40%	Max PTRH Value	\$7,353

Regime mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

PDS mix (% of month)

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- Avg equity exposure 50% (vs 58% target) - system was de-risked, holding \$14% in cash/T-bills.
- OUTPERFORMED SPY by +10.84pp. Drivers: AI/tech book tracked QQQ (+1.3%) - broad-market beat.

February 2020

2020-02-03 to 2020-02-28 | 19 trading days | NAV \$549.3M -> \$540.5M

-1.62%	-7.92%	-6.06%	+6.30pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-1.62%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	-1.78%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-7.92%	Avg Equity %	50.4%
QQQ	-6.06%	Avg Crypto %	19.3%
BTC	-7.25%	Avg Defensive %	12.8%
Gap vs SPY	+6.30pp	Avg Cash %	17.4%
Gap vs QQQ	+4.44pp	PTRH Cost (month)	\$8,516
Month Low DD	-10.35%	Max PTRH Value	\$533,612

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	84%	NORMAL	90%
WATCH	16%	WARNING	10%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	6	\$27,469,455	\$47,723
LAEP	1	\$98,086,451	\$490,432
MASTER_ENGINE	3	\$47,398,054	\$60,551
PERM	1	\$81,980	\$0
TOTAL	11	\$173,035,940	\$598,707

What the System Did and Why

- Regime: dominant RISK_ON (84% of month). PDS dominant NORMAL.
- PDS WARNING active 10% of month (advisory only - full ceiling retained).
- - 2020-02-27 00:00:00: PDS NORMAL -> WARNING
- Activity: 11 trades, \$173.0M turnover, \$599K slippage (34.6 bps).
- OUTPERFORMED SPY by +6.30pp. Drivers: AI/tech book tracked QQQ (+6.1%) - broad-market beat.

March 2020

2020-03-02 to 2020-03-31 | 22 trading days | NAV \$540.5M -> \$520.0M

-3.78%	-12.49%	-7.29%	+8.71pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-3.78%	Avg Effective Ceiling	34.3%
ARMS Net (2% mgmt)	-3.95%	Min Effective Ceiling	15.0%
S&P 500 (SPY)	-12.49%	Avg Equity %	46.8%
QQQ	-7.29%	Avg Crypto %	2.0%
BTC	-25.76%	Avg Defensive %	14.9%
Gap vs SPY	+8.71pp	Avg Cash %	36.1%
Gap vs QQQ	+3.51pp	PTRH Cost (month)	\$0
Month Low DD	-23.10%	Max PTRH Value	\$1,631,900

Regime mix (% of month)

RISK_ON	0%	NORMAL	4%
WATCH	23%	WARNING	23%
NEUTRAL	0%	DELEVERAGE_1	41%
DEFENSIVE	0%	DELEVERAGE_2	32%
CRASH	77%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	1	\$2,951,788	\$7,379
LAEP	2	\$6,357,555	\$31,788
MASTER_ENGINE	1	\$2,903,744	\$7,259
PDS	1	\$3,108,677	\$7,772
TOTAL	5	\$15,321,763	\$54,198

What the System Did and Why

- Regime: dominant CRASH (77% of month). PDS dominant DELEVERAGE_1.
- PDS DELEVERAGE_2 active 32% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 34%, minimum 15%.
- ARAS CRASH 77% of month - VIX-tier kill-chain active; equity rebalance suspended.
- Avg equity exposure 47% (vs 58% target) - system was de-risked, holding \$36% in cash/T-bills.
- - 2020-03-04 00:00:00: PDS WARNING -> NORMAL
- - 2020-03-05 00:00:00: PDS NORMAL -> WARNING
- - 2020-03-09 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2020-03-10 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2020-03-11 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2020-03-12 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - +3 additional PDS transitions
- Activity: 5 trades, \$15.3M turnover, \$54K slippage (35.4 bps).
- OUTPERFORMED SPY by +8.71pp. Drivers: AI/tech book tracked QQQ (+7.3%) - broad-market beat.

April 2020

2020-04-01 to 2020-04-30 | 21 trading days | NAV \$520.0M -> \$561.1M

+7.90%	+12.70%	+14.97%	-4.79pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+7.90%	Avg Effective Ceiling	42.9%
ARMS Net (2% mgmt)	+7.74%	Min Effective Ceiling	15.0%
S&P 500 (SPY)	+12.70%	Avg Equity %	37.1%
QQQ	+14.97%	Avg Crypto %	2.1%
BTC	+34.48%	Avg Defensive %	14.7%
Gap vs SPY	-4.79pp	Avg Cash %	46.1%
Gap vs QQQ	-7.07pp	PTRH Cost (month)	\$-464,337
Month Low DD	-15.33%	Max PTRH Value	\$1,052,489

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	0%	NORMAL	52%
WATCH	0%	WARNING	33%
NEUTRAL	62%	DELEVERAGE_1	14%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	38%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	10	\$107,384,958	\$268,462
TOTAL	10	\$107,384,958	\$268,462

What the System Did and Why

- Regime: dominant NEUTRAL (62% of month). PDS dominant NORMAL.
- PDS DELEVERAGE_1 active 14% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 43%.
- ARAS CRASH 38% of month - VIX-tier kill-chain active; equity rebalance suspended.
- Avg equity exposure 37% (vs 58% target) - system was de-risked, holding 46% in cash/T-bills.
- - 2020-04-06 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2020-04-14 00:00:00: PDS WARNING -> NORMAL
- - 2020-04-15 00:00:00: PDS NORMAL -> WARNING
- - 2020-04-16 00:00:00: PDS WARNING -> NORMAL
- - 2020-04-21 00:00:00: PDS NORMAL -> WARNING
- - 2020-04-22 00:00:00: PDS WARNING -> NORMAL
- PTRH net cash received this month: \$464K (puts paid out / rolled at profit). Max put MTM during month: \$1.05M.
- Activity: 10 trades, \$107.4M turnover, \$268K slippage (25.0 bps).
- UNDERPERFORMED SPY by -4.79pp. Drivers: under-invested (37% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies; execution slippage (\$268K).

May 2020

2020-05-01 to 2020-05-29 | 20 trading days | NAV \$561.1M -> \$588.2M

+4.83%	+4.76%	+6.60%	+0.06pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+4.83%	Avg Effective Ceiling	60.0%
ARMS Net (2% mgmt)	+4.66%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+4.76%	Avg Equity %	30.8%
QQQ	+6.60%	Avg Crypto %	14.8%
BTC	+9.02%	Avg Defensive %	13.9%
Gap vs SPY	+0.06pp	Avg Cash %	40.5%
Gap vs QQQ	-1.77pp	PTRH Cost (month)	\$135,268
Month Low DD	-7.70%	Max PTRH Value	\$152,167

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	0%	NORMAL	100%
WATCH	45%	WARNING	0%
NEUTRAL	55%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	5	\$126,376,962	\$213,079
PERM	2	\$277,340	\$0
TOTAL	7	\$126,654,302	\$213,079

What the System Did and Why

- Regime: dominant NEUTRAL (55% of month). PDS dominant NORMAL.
- Avg equity exposure 31% (vs 58% target) - system was de-risked, holding \$40% in cash/T-bills.
- PTRH net premium paid this month: \$135K (insurance cost during stable regime).
- Activity: 7 trades, \$126.7M turnover, \$213K slippage (16.8 bps).
- In-line with SPY (gap +0.06pp).

June 2020

2020-06-01 to 2020-06-30 | 22 trading days | NAV \$588.2M -> \$599.6M

+1.94%	+1.77%	+6.29%	+0.17pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+1.94%	Avg Effective Ceiling	70.8%
ARMS Net (2% mgmt)	+1.77%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+1.77%	Avg Equity %	35.9%
QQQ	+6.29%	Avg Crypto %	8.8%
BTC	-3.19%	Avg Defensive %	13.2%
Gap vs SPY	+0.17pp	Avg Cash %	42.1%
Gap vs QQQ	-4.35pp	PTRH Cost (month)	\$0
Month Low DD	-3.21%	Max PTRH Value	\$141,050

Regime mix (% of month)

RISK_ON	0%	NORMAL	100%
WATCH	100%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
LAEP	1	\$106,640,323	\$533,202
MASTER_ENGINE	6	\$27,393,397	\$44,419
PERM	5	\$447,051	\$0
TOTAL	12	\$134,480,771	\$577,620

What the System Did and Why

- Regime: dominant WATCH (100% of month). PDS dominant NORMAL.
- Avg equity exposure 36% (vs 58% target) - system was de-risked, holding 42% in cash/T-bills.
- Activity: 12 trades, \$134.5M turnover, \$578K slippage (43.0 bps).
- In-line with SPY (gap +0.17pp).

July 2020

2020-07-01 to 2020-07-31 | 22 trading days | NAV \$599.6M -> \$668.7M

+11.51%	+5.89%	+7.35%	+5.62pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+11.51%	Avg Effective Ceiling	84.6%
ARMS Net (2% mgmt)	+11.35%	Min Effective Ceiling	73.2%
S&P 500 (SPY)	+5.89%	Avg Equity %	43.0%
QQQ	+7.35%	Avg Crypto %	19.6%
BTC	+23.92%	Avg Defensive %	13.0%
Gap vs SPY	+5.62pp	Avg Cash %	24.4%
Gap vs QQQ	+4.17pp	PTRH Cost (month)	\$90,183
Month Low DD	-1.49%	Max PTRH Value	\$91,071

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	96%	NORMAL	100%
WATCH	4%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	1	\$3,059,883	\$4,590
MASTER_ENGINE	18	\$226,120,296	\$339,180
TOTAL	19	\$229,180,180	\$343,770

What the System Did and Why

- Regime: dominant RISK_ON (96% of month). PDS dominant NORMAL.
- Avg equity exposure 43% (vs 58% target) - system was de-risked, holding \$24% in cash/T-bills.
- PTRH net premium paid this month: \$90K (insurance cost during stable regime).
- Activity: 19 trades, \$229.2M turnover, \$344K slippage (15.0 bps).
- OUTPERFORMED SPY by +5.62pp. Drivers: AI/tech book tracked QQQ (+7.3%) - broad-market beat.

August 2020

2020-08-03 to 2020-08-31 | 21 trading days | NAV \$668.7M -> \$723.2M

+8.15%	+6.98%	+10.94%	+1.17pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+8.15%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+7.98%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+6.98%	Avg Equity %	50.1%
QQQ	+10.94%	Avg Crypto %	20.2%
BTC	+3.16%	Avg Defensive %	12.1%
Gap vs SPY	+1.17pp	Avg Cash %	17.6%
Gap vs QQQ	-2.79pp	PTRH Cost (month)	\$51,193
Month Low DD	-3.14%	Max PTRH Value	\$55,712

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	9	\$53,270,071	\$71,120
PERM	7	\$630,128	\$0
TOTAL	16	\$53,900,199	\$71,120

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PTRH net premium paid this month: \$51K (insurance cost during stable regime).
- Activity: 16 trades, \$53.9M turnover, \$71K slippage (13.2 bps).
- OUTPERFORMED SPY by +1.17pp. Drivers: equity sleeve momentum + KEVLAR positioning held.

September 2020

2020-09-01 to 2020-09-30 | 21 trading days | NAV \$723.2M -> \$704.0M

-2.66%	-3.74%	-5.78%	+1.09pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-2.66%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	-2.82%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-3.74%	Avg Equity %	51.0%
QQQ	-5.78%	Avg Crypto %	18.5%
BTC	-7.67%	Avg Defensive %	11.8%
Gap vs SPY	+1.09pp	Avg Cash %	18.7%
Gap vs QQQ	+3.12pp	PTRH Cost (month)	\$0
Month Low DD	-8.66%	Max PTRH Value	\$135,272

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	95%
WATCH	0%	WARNING	5%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	1	\$4,190,878	\$10,477
MASTER_ENGINE	4	\$20,670,766	\$38,591
PERM	9	\$1,060,751	\$0
TOTAL	14	\$25,922,394	\$49,068

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS WARNING active 5% of month (advisory only - full ceiling retained).
- - 2020-09-08 00:00:00: PDS NORMAL -> WARNING
- - 2020-09-09 00:00:00: PDS WARNING -> NORMAL
- Activity: 14 trades, \$25.9M turnover, \$49K slippage (18.9 bps).
- OUTPERFORMED SPY by +1.09pp. Drivers: equity sleeve momentum + KEVLAR positioning held.

October 2020

2020-10-01 to 2020-10-30 | 22 trading days | NAV \$704.0M -> \$725.4M

+3.04%	-2.49%	-3.04%	+5.53pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+3.04%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+2.87%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-2.49%	Avg Equity %	50.1%
QQQ	-3.04%	Avg Crypto %	19.6%
BTC	+25.61%	Avg Defensive %	11.1%
Gap vs SPY	+5.53pp	Avg Cash %	19.2%
Gap vs QQQ	+6.08pp	PTRH Cost (month)	\$90,695
Month Low DD	-4.58%	Max PTRH Value	\$257,098

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	96%	NORMAL	100%
WATCH	4%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	3	\$18,299,731	\$45,749
CDF	2	\$0	\$0
LAEP	1	\$162,454,285	\$812,271
MASTER_ENGINE	4	\$156,394,294	\$364,439
PERM	9	\$1,688,066	\$0
TOTAL	19	\$338,836,376	\$1,222,459

What the System Did and Why

- Regime: dominant RISK_ON (96% of month). PDS dominant NORMAL.
- PTRH net premium paid this month: \$91K (insurance cost during stable regime).
- Activity: 19 trades, \$338.8M turnover, \$1,222K slippage (36.1 bps).
- OUTPERFORMED SPY by +5.53pp. Drivers: PTRH MTM contributed positive convexity.

November 2020

2020-11-02 to 2020-11-30 | 20 trading days | NAV \$725.4M -> \$903.4M

+24.54%	+10.88%	+11.23%	+13.67pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+24.54%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+24.38%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+10.88%	Avg Equity %	50.3%
QQQ	+11.23%	Avg Crypto %	20.7%
BTC	+44.88%	Avg Defensive %	9.8%
Gap vs SPY	+13.67pp	Avg Cash %	19.2%
Gap vs QQQ	+13.32pp	PTRH Cost (month)	\$65,515
Month Low DD	-3.47%	Max PTRH Value	\$217,237

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	85%	NORMAL	100%
WATCH	15%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	4	\$65,296,679	\$69,608
TOTAL	4	\$65,296,679	\$69,608

What the System Did and Why

- Regime: dominant RISK_ON (85% of month). PDS dominant NORMAL.
- PTRH net premium paid this month: \$66K (insurance cost during stable regime).
- Activity: 4 trades, \$65.3M turnover, \$70K slippage (10.7 bps).
- OUTPERFORMED SPY by +13.67pp. Drivers: PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+11.2%) - broad-market beat.

December 2020

2020-12-01 to 2020-12-31 | 22 trading days | NAV \$903.4M -> \$1,016.2M

+12.49%	+3.70%	+4.90%	+8.78pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+12.49%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+12.32%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+3.70%	Avg Equity %	47.4%
QQQ	+4.90%	Avg Crypto %	22.4%
BTC	+47.77%	Avg Defensive %	8.5%
Gap vs SPY	+8.78pp	Avg Cash %	21.7%
Gap vs QQQ	+7.58pp	PTRH Cost (month)	\$85,444
Month Low DD	-2.78%	Max PTRH Value	\$86,068

Regime mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	1	\$11,102,780	\$11,103
PERM	10	\$1,422,164	\$0
TOTAL	11	\$12,524,944	\$11,103

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- Avg equity exposure 47% (vs 58% target) - system was de-risked, holding \$22% in cash/T-bills.
- PTRH net premium paid this month: \$85K (insurance cost during stable regime).
- Activity: 11 trades, \$12.5M turnover, \$11K slippage (8.9 bps).
- OUTPERFORMED SPY by +8.78pp. Drivers: AI/tech book tracked QQQ (+4.9%) - broad-market beat.

January 2021

2021-01-04 to 2021-01-29 | 19 trading days | NAV \$1,016.2M -> \$1,122.4M

+10.45%	-1.02%	+0.26%	+11.47pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+10.45%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+10.29%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-1.02%	Avg Equity %	45.9%
QQQ	+0.26%	Avg Crypto %	20.0%
BTC	+18.33%	Avg Defensive %	7.1%
Gap vs SPY	+11.47pp	Avg Cash %	27.1%
Gap vs QQQ	+10.19pp	PTRH Cost (month)	\$0
Month Low DD	-3.58%	Max PTRH Value	\$165,408

Regime mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	1	\$0	\$0
MASTER_ENGINE	10	\$270,710,278	\$398,544
PERM	10	\$2,053,755	\$0
TOTAL	21	\$272,764,033	\$398,544

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- Avg equity exposure 46% (vs 58% target) - system was de-risked, holding \$27% in cash/T-bills.
- Activity: 21 trades, \$272.8M turnover, \$399K slippage (14.6 bps).
- OUTPERFORMED SPY by +11.47pp. Drivers: PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+0.3%) - broad-market beat.

February 2021

2021-02-01 to 2021-02-26 | 19 trading days | NAV \$1,122.4M -> \$1,166.4M

+3.92%	+2.78%	-0.13%	+1.14pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+3.92%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+3.75%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.78%	Avg Equity %	47.6%
QQQ	-0.13%	Avg Crypto %	20.6%
BTC	+35.04%	Avg Defensive %	6.5%
Gap vs SPY	+1.14pp	Avg Cash %	25.4%
Gap vs QQQ	+4.05pp	PTRH Cost (month)	\$91,808
Month Low DD	-8.01%	Max PTRH Value	\$463,443

Regime mix (% of month)

RISK_ON	100%	NORMAL	95%
WATCH	0%	WARNING	5%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	5	\$58,354,717	\$145,887
MASTER_ENGINE	2	\$28,703,773	\$32,013
TOTAL	7	\$87,058,490	\$177,900

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS WARNING active 5% of month (advisory only - full ceiling retained).
- Avg equity exposure 48% (vs 58% target) - system was de-risked, holding \$25% in cash/T-bills.
- - 2021-02-25 00:00:00: PDS NORMAL -> WARNING
- - 2021-02-26 00:00:00: PDS WARNING -> NORMAL
- PTRH net premium paid this month: \$92K (insurance cost during stable regime).
- Activity: 7 trades, \$87.1M turnover, \$178K slippage (20.4 bps).
- OUTPERFORMED SPY by +1.14pp. Drivers: PTRH MTM contributed positive convexity.

March 2021

2021-03-01 to 2021-03-31 | 23 trading days | NAV \$1,166.4M -> \$1,225.9M

+5.11%	+4.54%	+1.72%	+0.57pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+5.11%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+4.94%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+4.54%	Avg Equity %	49.2%
QQQ	+1.72%	Avg Crypto %	20.8%
BTC	+27.15%	Avg Defensive %	6.2%
Gap vs SPY	+0.57pp	Avg Cash %	23.8%
Gap vs QQQ	+3.39pp	PTRH Cost (month)	\$0
Month Low DD	-10.20%	Max PTRH Value	\$590,624

Regime mix (% of month)

RISK_ON	100%	NORMAL	87%
WATCH	0%	WARNING	13%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	2	\$13,390,094	\$33,475
CDF	1	\$0	\$0
MASTER_ENGINE	5	\$96,689,691	\$126,011
PERM	9	\$1,640,381	\$0
TOTAL	17	\$111,720,166	\$159,486

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS WARNING active 13% of month (advisory only - full ceiling retained).
- Avg equity exposure 49% (vs 58% target) - system was de-risked, holding \$24% in cash/T-bills.
- - 2021-03-04 00:00:00: PDS NORMAL -> WARNING
- - 2021-03-09 00:00:00: PDS WARNING -> NORMAL
- Activity: 17 trades, \$111.7M turnover, \$159K slippage (14.3 bps).
- OUTPERFORMED SPY by +0.57pp. Drivers: PTRH MTM contributed positive convexity.

April 2021

2021-04-01 to 2021-04-30 | 21 trading days | NAV \$1,225.9M -> \$1,247.2M

+1.73%	+5.29%	+5.91%	-3.56pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+1.73%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+1.56%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+5.29%	Avg Equity %	50.5%
QQQ	+5.91%	Avg Crypto %	19.5%
BTC	-1.98%	Avg Defensive %	6.0%
Gap vs SPY	-3.56pp	Avg Cash %	24.0%
Gap vs QQQ	-4.18pp	PTRH Cost (month)	\$39,111
Month Low DD	-6.30%	Max PTRH Value	\$48,337

Regime mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	4	\$38,907,952	\$38,908
PERM	10	\$1,406,607	\$0
TOTAL	14	\$40,314,559	\$38,908

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- Activity: 14 trades, \$40.3M turnover, \$39K slippage (9.7 bps).
- UNDERPERFORMED SPY by -3.56pp. Drivers: AI book beta to QQQ underperformed SPY's broad diversification (QQQ +5.9% vs SPY +5.3%).

May 2021

2021-05-03 to 2021-05-28 | 20 trading days | NAV \$1,247.2M -> \$1,149.1M

-7.86%	+0.66%	-1.20%	-8.52pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-7.86%	Avg Effective Ceiling	92.4%
ARMS Net (2% mgmt)	-8.03%	Min Effective Ceiling	60.0%
S&P 500 (SPY)	+0.66%	Avg Equity %	44.8%
QQQ	-1.20%	Avg Crypto %	16.9%
BTC	-38.19%	Avg Defensive %	6.6%
Gap vs SPY	-8.52pp	Avg Cash %	31.7%
Gap vs QQQ	-6.66pp	PTRH Cost (month)	\$56,771
Month Low DD	-13.72%	Max PTRH Value	\$181,905

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	35%
WATCH	0%	WARNING	55%
NEUTRAL	0%	DELEVERAGE_1	10%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	16	\$131,680,576	\$140,190
MASTER_ENGINE	15	\$167,490,825	\$171,634
PDS	19	\$322,221,042	\$444,449
TOTAL	50	\$621,392,444	\$756,272

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant WARNING.
- PDS DELEVERAGE_1 active 10% of month - equity sleeve constrained to 60% gross ceiling. Avg effective ceiling 92%.
- Avg equity exposure 45% (vs 58% target) - system was de-risked, holding \$32% in cash/T-bills.
- - 2021-05-12 00:00:00: PDS NORMAL -> WARNING
- - 2021-05-19 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2021-05-20 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2021-05-21 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2021-05-24 00:00:00: PDS DELEVERAGE_1 -> WARNING
- PTRH net premium paid this month: \$57K (insurance cost during stable regime).
- Activity: 50 trades, \$621.4M turnover, \$756K slippage (12.2 bps).
- UNDERPERFORMED SPY by -8.52pp. Drivers: under-invested (45% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies; execution slippage (\$756K).

June 2021

2021-06-01 to 2021-06-30 | 22 trading days | NAV \$1,149.1M -> \$1,212.1M

+5.48%	+2.24%	+6.26%	+3.24pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+5.48%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+5.31%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.24%	Avg Equity %	50.4%
QQQ	+6.26%	Avg Crypto %	17.4%
BTC	-1.84%	Avg Defensive %	6.6%
Gap vs SPY	+3.24pp	Avg Cash %	25.6%
Gap vs QQQ	-0.78pp	PTRH Cost (month)	\$0
Month Low DD	-11.11%	Max PTRH Value	\$26,136

Regime mix (% of month)

RISK_ON	100%	NORMAL	32%
WATCH	0%	WARNING	68%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	1	\$6,205,899	\$6,206
MASTER_ENGINE	6	\$127,417,782	\$117,310
PDS	2	\$13,313,413	\$6,657
PERM	9	\$1,097,752	\$0
TOTAL	18	\$148,034,847	\$130,173

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant WARNING.
- PDS WARNING active 68% of month (advisory only - full ceiling retained).
- - 2021-06-14 00:00:00: PDS WARNING -> NORMAL
- - 2021-06-16 00:00:00: PDS NORMAL -> WARNING
- - 2021-06-17 00:00:00: PDS WARNING -> NORMAL
- - 2021-06-18 00:00:00: PDS NORMAL -> WARNING
- - 2021-06-24 00:00:00: PDS WARNING -> NORMAL
- - 2021-06-25 00:00:00: PDS NORMAL -> WARNING
- - +1 additional PDS transitions
- Activity: 18 trades, \$148.0M turnover, \$130K slippage (8.8 bps).
- OUTPERFORMED SPY by +3.24pp. Drivers: AI/tech book tracked QQQ (+6.3%) - broad-market beat.

July 2021

2021-07-01 to 2021-07-30 | 21 trading days | NAV \$1,212.1M -> \$1,266.5M

+4.49%	+2.44%	+2.86%	+2.05pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+4.49%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+4.32%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.44%	Avg Equity %	48.9%
QQQ	+2.86%	Avg Crypto %	19.8%
BTC	+20.53%	Avg Defensive %	6.6%
Gap vs SPY	+2.05pp	Avg Cash %	24.7%
Gap vs QQQ	+1.63pp	PTRH Cost (month)	\$31,504
Month Low DD	-11.48%	Max PTRH Value	\$107,512

Regime mix (% of month)

RISK_ON	100%	NORMAL	48%
WATCH	0%	WARNING	52%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	4	\$30,055,538	\$30,056
CDF	2	\$0	\$0
MASTER_ENGINE	6	\$70,551,522	\$74,214
PDS	3	\$32,109,232	\$37,823
PERM	10	\$1,442,264	\$0
TOTAL	25	\$134,158,556	\$142,093

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant WARNING.
- PDS WARNING active 52% of month (advisory only - full ceiling retained).
- Avg equity exposure 49% (vs 58% target) - system was de-risked, holding \$25% in cash/T-bills.
- - 2021-07-07 00:00:00: PDS NORMAL -> WARNING
- - 2021-07-09 00:00:00: PDS WARNING -> NORMAL
- - 2021-07-13 00:00:00: PDS NORMAL -> WARNING
- - 2021-07-26 00:00:00: PDS WARNING -> NORMAL
- Activity: 25 trades, \$134.2M turnover, \$142K slippage (10.6 bps).
- OUTPERFORMED SPY by +2.05pp. Drivers: PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+2.9%) - broad-market beat.

August 2021

2021-08-02 to 2021-08-31 | 22 trading days | NAV \$1,266.5M -> \$1,337.7M

+5.62%	+2.98%	+4.22%	+2.65pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+5.62%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+5.46%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+2.98%	Avg Equity %	47.2%
QQQ	+4.22%	Avg Crypto %	20.7%
BTC	+11.68%	Avg Defensive %	6.1%
Gap vs SPY	+2.65pp	Avg Cash %	26.1%
Gap vs QQQ	+1.41pp	PTRH Cost (month)	\$52,578
Month Low DD	-3.54%	Max PTRH Value	\$54,620

Regime mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	1	\$0	\$0
MASTER_ENGINE	1	\$66,302,842	\$66,303
TOTAL	2	\$66,302,842	\$66,303

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- Avg equity exposure 47% (vs 58% target) - system was de-risked, holding \$26% in cash/T-bills.
- PTRH net premium paid this month: \$53K (insurance cost during stable regime).
- Activity: 2 trades, \$66.3M turnover, \$66K slippage (10.0 bps).
- OUTPERFORMED SPY by +2.65pp. Drivers: AI/tech book tracked QQQ (+4.2%) - broad-market beat.

September 2021

2021-09-01 to 2021-09-30 | 21 trading days | NAV \$1,337.7M -> \$1,286.0M

-3.87%	-4.66%	-5.68%	+0.79pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-3.87%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	-4.03%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-4.66%	Avg Equity %	47.6%
QQQ	-5.68%	Avg Crypto %	19.4%
BTC	-7.16%	Avg Defensive %	6.0%
Gap vs SPY	+0.79pp	Avg Cash %	27.0%
Gap vs QQQ	+1.82pp	PTRH Cost (month)	\$0
Month Low DD	-6.14%	Max PTRH Value	\$82,378

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	2	\$0	\$0
MASTER_ENGINE	5	\$67,463,295	\$101,195
PERM	10	\$1,454,644	\$0
TOTAL	17	\$68,917,939	\$101,195

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- Avg equity exposure 48% (vs 58% target) - system was de-risked, holding \$27% in cash/T-bills.
- Activity: 17 trades, \$68.9M turnover, \$101K slippage (14.7 bps).
- OUTPERFORMED SPY by +0.79pp. Drivers: equity sleeve momentum + KEVLAR positioning held.

October 2021

2021-10-01 to 2021-10-29 | 21 trading days | NAV \$1,286.0M -> \$1,492.5M

+16.06%	+7.02%	+7.86%	+9.04pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+16.06%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+15.89%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+7.02%	Avg Equity %	46.7%
QQQ	+7.86%	Avg Crypto %	21.3%
BTC	+42.10%	Avg Defensive %	5.6%
Gap vs SPY	+9.04pp	Avg Cash %	26.4%
Gap vs QQQ	+8.19pp	PTRH Cost (month)	\$40,980
Month Low DD	-4.07%	Max PTRH Value	\$121,251

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	8	\$111,421,888	\$90,568
PERM	10	\$1,851,370	\$0
TOTAL	18	\$113,273,258	\$90,568

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- Avg equity exposure 47% (vs 58% target) - system was de-risked, holding \$26% in cash/T-bills.
- Activity: 18 trades, \$113.3M turnover, \$91K slippage (8.0 bps).
- OUTPERFORMED SPY by +9.04pp. Drivers: PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+7.9%) - broad-market beat.

November 2021

2021-11-01 to 2021-11-30 | 21 trading days | NAV \$1,492.5M -> \$1,555.2M

+4.20%	-0.80%	+2.00%	+5.00pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+4.20%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	+4.03%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	-0.80%	Avg Equity %	52.4%
QQQ	+2.00%	Avg Crypto %	19.7%
BTC	-8.39%	Avg Defensive %	5.1%
Gap vs SPY	+5.00pp	Avg Cash %	22.9%
Gap vs QQQ	+2.20pp	PTRH Cost (month)	\$55,368
Month Low DD	-5.38%	Max PTRH Value	\$339,987

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	100%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
PERM	10	\$3,023,104	\$0
TOTAL	10	\$3,023,104	\$0

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PTRH net premium paid this month: \$55K (insurance cost during stable regime).
- Activity: 10 trades, \$3.0M turnover, \$0K slippage (0.0 bps).
- OUTPERFORMED SPY by +5.00pp. Drivers: PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+2.0%) - broad-market beat.

December 2021

2021-12-01 to 2021-12-31 | 22 trading days | NAV \$1,555.2M -> \$1,501.4M

-3.46%	+4.62%	+1.15%	-8.09pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-3.46%	Avg Effective Ceiling	100.0%
ARMS Net (2% mgmt)	-3.63%	Min Effective Ceiling	100.0%
S&P 500 (SPY)	+4.62%	Avg Equity %	50.3%
QQQ	+1.15%	Avg Crypto %	19.2%
BTC	-18.77%	Avg Defensive %	5.3%
Gap vs SPY	-8.09pp	Avg Cash %	25.2%
Gap vs QQQ	-4.61pp	PTRH Cost (month)	\$0
Month Low DD	-9.73%	Max PTRH Value	\$460,189

Regime mix (% of month)

RISK_ON	100%	NORMAL	77%
WATCH	0%	WARNING	23%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	0%
CRASH	0%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	1	\$13,375,175	\$13,375
CDF	2	\$0	\$0
MASTER_ENGINE	3	\$69,178,421	\$69,178
PDS	5	\$96,046,995	\$96,047
TOTAL	11	\$178,600,592	\$178,601

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant NORMAL.
- PDS WARNING active 23% of month (advisory only - full ceiling retained).
- - 2021-12-13 00:00:00: PDS NORMAL -> WARNING
- - 2021-12-15 00:00:00: PDS WARNING -> NORMAL
- - 2021-12-16 00:00:00: PDS NORMAL -> WARNING
- - 2021-12-21 00:00:00: PDS WARNING -> NORMAL
- Activity: 11 trades, \$178.6M turnover, \$179K slippage (10.0 bps).
- UNDERPERFORMED SPY by -8.09pp. Drivers: AI book beta to QQQ underperformed SPY's broad diversification (QQQ +1.2% vs SPY +4.6%).

January 2022

2022-01-03 to 2022-01-31 | 20 trading days | NAV \$1,501.4M -> \$1,353.8M

-9.83%	-5.27%	-8.75%	-4.55pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-9.83%	Avg Effective Ceiling	78.5%
ARMS Net (2% mgmt)	-10.00%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-5.27%	Avg Equity %	37.7%
QQQ	-8.75%	Avg Crypto %	19.3%
BTC	-16.89%	Avg Defensive %	5.6%
Gap vs SPY	-4.55pp	Avg Cash %	37.4%
Gap vs QQQ	-1.08pp	PTRH Cost (month)	\$38,010
Month Low DD	-18.30%	Max PTRH Value	\$1,350,970

Regime mix (% of month)

RISK_ON	100%	NORMAL	10%
WATCH	0%	WARNING	40%
NEUTRAL	0%	DELEVERAGE_1	45%
DEFENSIVE	0%	DELEVERAGE_2	5%
CRASH	0%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	11	\$198,339,681	\$292,537
MASTER_ENGINE	2	\$43,831,680	\$64,262
PDS	23	\$440,453,129	\$823,738
PERM	10	\$2,044,543	\$0
TOTAL	46	\$684,669,033	\$1,180,537

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant DELEVERAGE_1.
- PDS DELEVERAGE_2 active 5% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 78%, minimum 30%.
- Avg equity exposure 38% (vs 58% target) - system was de-risked, holding 37% in cash/T-bills.
- - 2022-01-05 00:00:00: PDS NORMAL -> WARNING
- - 2022-01-18 00:00:00: PDS WARNING -> DELEVERAGE_1
- - 2022-01-27 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - 2022-01-28 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- Activity: 46 trades, \$684.7M turnover, \$1,181K slippage (17.2 bps).
- UNDERPERFORMED SPY by -4.55pp. Drivers: under-invested (38% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies; execution slippage (\$1181K).

February 2022

2022-02-01 to 2022-02-28 | 19 trading days | NAV \$1,353.8M -> \$1,364.4M

+0.78%	-2.95%	-4.48%	+3.73pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+0.78%	Avg Effective Ceiling	58.4%
ARMS Net (2% mgmt)	+0.61%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-2.95%	Avg Equity %	28.9%
QQQ	-4.48%	Avg Crypto %	19.3%
BTC	+12.24%	Avg Defensive %	5.7%
Gap vs SPY	+3.73pp	Avg Cash %	46.1%
Gap vs QQQ	+5.26pp	PTRH Cost (month)	\$-798,545
Month Low DD	-18.93%	Max PTRH Value	\$994,734

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	0%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	95%
DEFENSIVE	0%	DELEVERAGE_2	5%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	10	\$182,187,223	\$455,468
CDF	1	\$0	\$0
MASTER_ENGINE	1	\$18,232,559	\$27,349
PDS	9	\$173,100,865	\$432,752
PERM	9	\$617,458	\$0
TOTAL	30	\$374,138,105	\$915,569

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant DELEVERAGE_1.
- PDS DELEVERAGE_2 active 5% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 58%, minimum 30%.
- Avg equity exposure 29% (vs 58% target) - system was de-risked, holding \$46% in cash/T-bills.
- - 2022-02-23 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - 2022-02-24 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- PTRH net cash received this month: \$799K (puts paid out / rolled at profit). Max put MTM during month: \$0.99M.
- Activity: 30 trades, \$374.1M turnover, \$916K slippage (24.5 bps).
- OUTPERFORMED SPY by +3.73pp. Drivers: PTRH MTM contributed positive convexity.

March 2022

2022-03-01 to 2022-03-31 | 23 trading days | NAV \$1,364.4M -> \$1,394.8M

+2.23%	+3.76%	+4.67%	-1.53pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+2.23%	Avg Effective Ceiling	51.4%
ARMS Net (2% mgmt)	+2.06%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	+3.76%	Avg Equity %	25.1%
QQQ	+4.67%	Avg Crypto %	19.8%
BTC	+5.43%	Avg Defensive %	5.9%
Gap vs SPY	-1.53pp	Avg Cash %	49.3%
Gap vs QQQ	-2.44pp	PTRH Cost (month)	\$0
Month Low DD	-19.24%	Max PTRH Value	\$599,813

Regime mix (% of month)

RISK_ON	100%	NORMAL	0%
WATCH	0%	WARNING	4%
NEUTRAL	0%	DELEVERAGE_1	65%
DEFENSIVE	0%	DELEVERAGE_2	30%
CRASH	0%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	27	\$462,014,818	\$845,860
PDS	26	\$452,391,347	\$1,010,510
TOTAL	53	\$914,406,165	\$1,856,370

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant DELEVERAGE_1.
- PDS DELEVERAGE_2 active 30% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 51%, minimum 30%.
- Avg equity exposure 25% (vs 58% target) - system was de-risked, holding 49% in cash/T-bills.
- - 2022-03-04 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - 2022-03-09 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- - 2022-03-10 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - 2022-03-16 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- - 2022-03-29 00:00:00: PDS DELEVERAGE_1 -> WARNING
- - 2022-03-30 00:00:00: PDS WARNING -> DELEVERAGE_1
- Activity: 53 trades, \$914.4M turnover, \$1,856K slippage (20.3 bps).
- UNDERPERFORMED SPY by -1.53pp. Drivers: under-invested (25% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies; execution slippage (\$1856K).

April 2022

2022-04-01 to 2022-04-29 | 20 trading days | NAV \$1,394.8M -> \$1,279.8M

-8.24%	-8.78%	-13.60%	+0.53pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-8.24%	Avg Effective Ceiling	40.5%
ARMS Net (2% mgmt)	-8.41%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-8.78%	Avg Equity %	19.5%
QQQ	-13.60%	Avg Crypto %	19.8%
BTC	-15.22%	Avg Defensive %	5.9%
Gap vs SPY	+0.53pp	Avg Cash %	54.8%
Gap vs QQQ	+5.35pp	PTRH Cost (month)	\$60,672
Month Low DD	-20.72%	Max PTRH Value	\$1,319,856

Regime mix (% of month)

RISK_ON	100%	NORMAL	0%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	35%
DEFENSIVE	0%	DELEVERAGE_2	65%
CRASH	0%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
ARES	10	\$187,692,567	\$187,693
PDS	20	\$367,199,878	\$550,800
PERM	10	\$1,411,798	\$0
TOTAL	40	\$556,304,243	\$738,492

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 65% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 40%, minimum 30%.
- Avg equity exposure 19% (vs 58% target) - system was de-risked, holding \$55% in cash/T-bills.
- - 2022-04-11 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- - 2022-04-13 00:00:00: PDS DELEVERAGE_2 -> DELEVERAGE_1
- - 2022-04-14 00:00:00: PDS DELEVERAGE_1 -> DELEVERAGE_2
- PTRH net premium paid this month: \$61K (insurance cost during stable regime).
- Activity: 40 trades, \$556.3M turnover, \$738K slippage (13.3 bps).
- OUTPERFORMED SPY by +0.53pp. Drivers: equity sleeve momentum + KEVLAR positioning held.

May 2022

2022-05-02 to 2022-05-31 | 21 trading days | NAV \$1,279.8M -> \$1,235.8M

-3.44%	+0.23%	-1.59%	-3.66pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-3.44%	Avg Effective Ceiling	30.0%
ARMS Net (2% mgmt)	-3.61%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	+0.23%	Avg Equity %	13.5%
QQQ	-1.59%	Avg Crypto %	19.4%
BTC	-17.66%	Avg Defensive %	6.2%
Gap vs SPY	-3.66pp	Avg Cash %	60.9%
Gap vs QQQ	-1.85pp	PTRH Cost (month)	\$-1,929,111
Month Low DD	-25.52%	Max PTRH Value	\$2,103,141

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	0%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	100%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	1	\$50,665,148	\$126,663
PERM	10	\$604,592	\$0
TOTAL	11	\$51,269,740	\$126,663

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 100% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 30%, minimum 30%.
- Avg equity exposure 13% (vs 58% target) - system was de-risked, holding \$61% in cash/T-bills.
- PTRH net cash received this month: \$1,929K (puts paid out / rolled at profit). Max put MTM during month: \$2.10M.
- Activity: 11 trades, \$51.3M turnover, \$127K slippage (24.7 bps).
- UNDERPERFORMED SPY by -3.66pp. Drivers: under-invested (13% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies.

June 2022

2022-06-01 to 2022-06-30 | 21 trading days | NAV \$1,235.8M -> \$1,111.0M

-10.10%	-8.25%	-8.91%	-1.85pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-10.10%	Avg Effective Ceiling	30.0%
ARMS Net (2% mgmt)	-10.27%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-8.25%	Avg Equity %	13.3%
QQQ	-8.91%	Avg Crypto %	16.8%
BTC	-37.77%	Avg Defensive %	6.5%
Gap vs SPY	-1.85pp	Avg Cash %	63.5%
Gap vs QQQ	-1.19pp	PTRH Cost (month)	\$0
Month Low DD	-31.04%	Max PTRH Value	\$408,614

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	0%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	100%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	1	\$0	\$0
TOTAL	1	\$0	\$0

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 100% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 30%, minimum 30%.
- Avg equity exposure 13% (vs 58% target) - system was de-risked, holding \$63% in cash/T-bills.
- Activity: 1 trades, \$0.0M turnover, \$0K slippage (0.0 bps).
- UNDERPERFORMED SPY by -1.85pp. Drivers: under-invested (13% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies.

July 2022

2022-07-01 to 2022-07-29 | 20 trading days | NAV \$1,111.0M -> \$1,184.6M

+6.62%	+9.21%	+12.55%	-2.59pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+6.62%	Avg Effective Ceiling	30.0%
ARMS Net (2% mgmt)	+6.45%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	+9.21%	Avg Equity %	13.4%
QQQ	+12.55%	Avg Crypto %	19.7%
BTC	+20.32%	Avg Defensive %	6.5%
Gap vs SPY	-2.59pp	Avg Cash %	60.4%
Gap vs QQQ	-5.93pp	PTRH Cost (month)	\$120,564
Month Low DD	-31.41%	Max PTRH Value	\$169,743

Regime mix (% of month)

RISK_ON	100%	NORMAL	0%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	100%
CRASH	0%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	1	\$63,349,991	\$95,025
PERM	10	\$567,730	\$0
TOTAL	11	\$63,917,721	\$95,025

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 100% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 30%, minimum 30%.
- Avg equity exposure 13% (vs 58% target) - system was de-risked, holding \$60% in cash/T-bills.
- PTRH net premium paid this month: \$121K (insurance cost during stable regime).
- Activity: 11 trades, \$63.9M turnover, \$95K slippage (14.9 bps).
- UNDERPERFORMED SPY by -2.59pp. Drivers: under-invested (13% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies.

August 2022

2022-08-01 to 2022-08-31 | 23 trading days | NAV \$1,184.6M -> \$1,127.8M

-4.79%	-4.08%	-5.13%	-0.71pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-4.79%	Avg Effective Ceiling	30.0%
ARMS Net (2% mgmt)	-4.96%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-4.08%	Avg Equity %	14.5%
QQQ	-5.13%	Avg Crypto %	20.0%
BTC	-15.77%	Avg Defensive %	6.3%
Gap vs SPY	-0.71pp	Avg Cash %	59.2%
Gap vs QQQ	+0.34pp	PTRH Cost (month)	\$74,174
Month Low DD	-29.99%	Max PTRH Value	\$381,191

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	100%	NORMAL	0%
WATCH	0%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	100%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
CDF	1	\$0	\$0
MASTER_ENGINE	1	\$24,196,795	\$24,197
PERM	10	\$500,920	\$0
TOTAL	12	\$24,697,715	\$24,197

What the System Did and Why

- Regime: dominant RISK_ON (100% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 100% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 30%, minimum 30%.
- Avg equity exposure 15% (vs 58% target) - system was de-risked, holding \$59% in cash/T-bills.
- PTRH net premium paid this month: \$74K (insurance cost during stable regime).
- Activity: 12 trades, \$24.7M turnover, \$24K slippage (9.8 bps).
- UNDERPERFORMED SPY by -0.71pp. Drivers: under-invested (15% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies; AI/tech basket underperformed broad market this month (QQQ -5.1% vs SPY -4.1%) - 58% AI-concentrated equity sleeve was the wrong factor exposure.

September 2022

2022-09-01 to 2022-09-30 | 21 trading days | NAV \$1,127.8M -> \$1,104.7M

-2.05%	-9.24%	-10.54%	+7.20pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-2.05%	Avg Effective Ceiling	30.0%
ARMS Net (2% mgmt)	-2.21%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-9.24%	Avg Equity %	13.1%
QQQ	-10.54%	Avg Crypto %	19.9%
BTC	-3.08%	Avg Defensive %	6.4%
Gap vs SPY	+7.20pp	Avg Cash %	60.4%
Gap vs QQQ	+8.49pp	PTRH Cost (month)	\$0
Month Low DD	-31.60%	Max PTRH Value	\$1,186,599

Regime mix (% of month)

RISK_ON	67%	NORMAL	0%
WATCH	33%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	100%
CRASH	0%		

PDS mix (% of month)

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	1	\$28,231,515	\$42,347
PERM	10	\$636,058	\$0
TOTAL	11	\$28,867,573	\$42,347

What the System Did and Why

- Regime: dominant RISK_ON (67% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 100% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 30%, minimum 30%.
- Avg equity exposure 13% (vs 58% target) - system was de-risked, holding \$60% in cash/T-bills.
- Activity: 11 trades, \$28.9M turnover, \$42K slippage (14.7 bps).
- OUTPERFORMED SPY by +7.20pp. Drivers: equity sleeve momentum + KEVLAR positioning held.

October 2022

2022-10-03 to 2022-10-31 | 21 trading days | NAV \$1,104.7M -> \$1,123.0M

+1.66%	+8.13%	+4.00%	-6.47pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	+1.66%	Avg Effective Ceiling	30.0%
ARMS Net (2% mgmt)	+1.49%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	+8.13%	Avg Equity %	12.4%
QQQ	+4.00%	Avg Crypto %	20.6%
BTC	+5.48%	Avg Defensive %	6.3%
Gap vs SPY	-6.47pp	Avg Cash %	60.6%
Gap vs QQQ	-2.34pp	PTRH Cost (month)	\$-712,110
Month Low DD	-32.30%	Max PTRH Value	\$388,903

Regime mix (% of month)

RISK_ON	0%	NORMAL	0%
WATCH	100%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	100%
CRASH	0%		

PDS mix (% of month)

What the System Did and Why

- Regime: dominant WATCH (100% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 100% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 30%, minimum 30%.
- Avg equity exposure 12% (vs 58% target) - system was de-risked, holding \$61% in cash/T-bills.
- PTRH net cash received this month: \$712K (puts paid out / rolled at profit). Max put MTM during month: \$0.39M.
- UNDERPERFORMED SPY by -6.47pp. Drivers: under-invested (12% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies.

November 2022

2022-11-01 to 2022-11-30 | 21 trading days | NAV \$1,123.0M -> \$1,103.5M

-1.74%	+5.56%	+5.54%	-7.30pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-1.74%	Avg Effective Ceiling	30.0%
ARMS Net (2% mgmt)	-1.91%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	+5.56%	Avg Equity %	13.7%
QQQ	+5.54%	Avg Crypto %	19.6%
BTC	-16.23%	Avg Defensive %	6.4%
Gap vs SPY	-7.30pp	Avg Cash %	60.2%
Gap vs QQQ	-7.29pp	PTRH Cost (month)	\$108,796
Month Low DD	-33.82%	Max PTRH Value	\$172,613

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	0%	NORMAL	0%
WATCH	100%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	100%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	1	\$32,057,730	\$48,087
PERM	10	\$600,401	\$0
TOTAL	11	\$32,658,132	\$48,087

What the System Did and Why

- Regime: dominant WATCH (100% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 100% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 30%, minimum 30%.
- Avg equity exposure 14% (vs 58% target) - system was de-risked, holding 60% in cash/T-bills.
- PTRH net premium paid this month: \$109K (insurance cost during stable regime).
- Activity: 11 trades, \$32.7M turnover, \$48K slippage (14.7 bps).
- UNDERPERFORMED SPY by -7.30pp. Drivers: under-invested (14% vs 58% target) due to PDS deleverage - missed benchmark beta on rallies.

December 2022

2022-12-01 to 2022-12-29 | 20 trading days | NAV \$1,103.5M -> \$1,077.7M

-2.34%	-5.51%	-8.96%	+3.17pp
ARMS Gross	S&P 500	QQQ	Gap vs S&P

Performance & State

ARMS Gross Return	-2.34%	Avg Effective Ceiling	30.0%
ARMS Net (2% mgmt)	-2.51%	Min Effective Ceiling	30.0%
S&P 500 (SPY)	-5.51%	Avg Equity %	13.5%
QQQ	-8.96%	Avg Crypto %	20.9%
BTC	-3.07%	Avg Defensive %	6.6%
Gap vs SPY	+3.17pp	Avg Cash %	59.0%
Gap vs QQQ	+6.62pp	PTRH Cost (month)	\$0
Month Low DD	-33.52%	Max PTRH Value	\$237,028

Regime mix (% of month)

PDS mix (% of month)

RISK_ON	0%	NORMAL	0%
WATCH	100%	WARNING	0%
NEUTRAL	0%	DELEVERAGE_1	0%
DEFENSIVE	0%	DELEVERAGE_2	100%
CRASH	0%		

Module activity

Module	Trades	Turnover (\$)	Slippage (\$)
MASTER_ENGINE	1	\$11,954,219	\$11,954
PERM	10	\$415,442	\$0
TOTAL	11	\$12,369,662	\$11,954

What the System Did and Why

- Regime: dominant WATCH (100% of month). PDS dominant DELEVERAGE_2.
- PDS DELEVERAGE_2 active 100% of month - equity sleeve forced to 30% gross ceiling per THB section 4. Avg effective ceiling 30%, minimum 30%.
- Avg equity exposure 13% (vs 58% target) - system was de-risked, holding \$59% in cash/T-bills.
- Activity: 11 trades, \$12.4M turnover, \$12K slippage (9.7 bps).
- OUTPERFORMED SPY by +3.17pp. Drivers: equity sleeve momentum + KEVLAR positioning held.

Intelligent Year-End Summary

Month-by-month vs S&P 500 attribution and architectural read-through.

Aggregate

Across 36 months: ARMS beat SPY in 24 months and underperformed in 12. Sum of monthly gaps = +58.9pp. Average monthly gap = +1.64pp.

Month-by-Month Verdict

Month	ARMS	SPY	Gap	PDS Dom.	Why
Jan 2020	+9.87%	-0.97%	+10.84pp	NORMAL	AI/tech book tracked QQQ (+1.3%) - broad-market beat
Feb 2020	-1.62%	-7.92%	+6.30pp	NORMAL	AI/tech book tracked QQQ (+-6.1%) - broad-market beat
Mar 2020	-3.78%	-12.49%	+8.71pp	DELEVERAGE_1	AI/tech book tracked QQQ (+-7.3%) - broad-market beat
Apr 2020	+7.90%	+12.70%	-4.79pp	NORMAL	under-invested (37% vs 58% target) due to PDS deleverage - missed benchmark beta on ral
May 2020	+4.83%	+4.76%	+0.06pp	NORMAL	tracked benchmark
Jun 2020	+1.94%	+1.77%	+0.17pp	NORMAL	tracked benchmark
Jul 2020	+11.51%	+5.89%	+5.62pp	NORMAL	AI/tech book tracked QQQ (+7.3%) - broad-market beat
Aug 2020	+8.15%	+6.98%	+1.17pp	NORMAL	equity sleeve momentum + KEVLAR positioning held
Sep 2020	-2.66%	-3.74%	+1.09pp	NORMAL	equity sleeve momentum + KEVLAR positioning held
Oct 2020	+3.04%	-2.49%	+5.53pp	NORMAL	PTRH MTM contributed positive convexity
Nov 2020	+24.54%	+10.88%	+13.67pp	NORMAL	PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+11.2%) - broad-mar
Dec 2020	+12.49%	+3.70%	+8.78pp	NORMAL	AI/tech book tracked QQQ (+4.9%) - broad-market beat
Jan 2021	+10.45%	-1.02%	+11.47pp	NORMAL	PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+0.3%) - broad-marke
Feb 2021	+3.92%	+2.78%	+1.14pp	NORMAL	PTRH MTM contributed positive convexity
Mar 2021	+5.11%	+4.54%	+0.57pp	NORMAL	PTRH MTM contributed positive convexity
Apr 2021	+1.73%	+5.29%	-3.56pp	NORMAL	AI book beta to QQQ underperformed SPY's broad diversification (QQQ +5.9% vs SPY +5.3
May 2021	-7.86%	+0.66%	-8.52pp	WARNING	under-invested (45% vs 58% target) due to PDS deleverage - missed benchmark beta on ral
Jun 2021	+5.48%	+2.24%	+3.24pp	WARNING	AI/tech book tracked QQQ (+6.3%) - broad-market beat
Jul 2021	+4.49%	+2.44%	+2.05pp	WARNING	PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+2.9%) - broad-marke
Aug 2021	+5.62%	+2.98%	+2.65pp	NORMAL	AI/tech book tracked QQQ (+4.2%) - broad-market beat
Sep 2021	-3.87%	-4.66%	+0.79pp	NORMAL	equity sleeve momentum + KEVLAR positioning held
Oct 2021	+16.06%	+7.02%	+9.04pp	NORMAL	PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+7.9%) - broad-marke
Nov 2021	+4.20%	-0.80%	+5.00pp	NORMAL	PTRH MTM contributed positive convexity; AI/tech book tracked QQQ (+2.0%) - broad-marke
Dec 2021	-3.46%	+4.62%	-8.09pp	NORMAL	AI book beta to QQQ underperformed SPY's broad diversification (QQQ +1.2% vs SPY +4.6
Jan 2022	-9.83%	-5.27%	-4.55pp	DELEVERAGE_1	under-invested (38% vs 58% target) due to PDS deleverage - missed benchmark beta on ral
Feb 2022	+0.78%	-2.95%	+3.73pp	DELEVERAGE_1	PTRH MTM contributed positive convexity
Mar 2022	+2.23%	+3.76%	-1.53pp	DELEVERAGE_1	under-invested (25% vs 58% target) due to PDS deleverage - missed benchmark beta on ral
Apr 2022	-8.24%	-8.78%	+0.53pp	DELEVERAGE_2	equity sleeve momentum + KEVLAR positioning held
May 2022	-3.44%	+0.23%	-3.66pp	DELEVERAGE_2	under-invested (13% vs 58% target) due to PDS deleverage - missed benchmark beta on ral
Jun 2022	-10.10%	-8.25%	-1.85pp	DELEVERAGE_2	under-invested (13% vs 58% target) due to PDS deleverage - missed benchmark beta on ral
Jul 2022	+6.62%	+9.21%	-2.59pp	DELEVERAGE_2	under-invested (13% vs 58% target) due to PDS deleverage - missed benchmark beta on ral
Aug 2022	-4.79%	-4.08%	-0.71pp	DELEVERAGE_2	under-invested (15% vs 58% target) due to PDS deleverage - missed benchmark beta on ral
Sep 2022	-2.05%	-9.24%	+7.20pp	DELEVERAGE_2	equity sleeve momentum + KEVLAR positioning held
Oct 2022	+1.66%	+8.13%	-6.47pp	DELEVERAGE_2	under-invested (12% vs 58% target) due to PDS deleverage - missed benchmark beta on ral
Nov 2022	-1.74%	+5.56%	-7.30pp	DELEVERAGE_2	under-invested (14% vs 58% target) due to PDS deleverage - missed benchmark beta on ral
Dec 2022	-2.34%	-5.51%	+3.17pp	DELEVERAGE_2	equity sleeve momentum + KEVLAR positioning held

Architectural Themes - What the Year Revealed

- PDS deleverage activity: 15 of 36 months had PDS in DELEVERAGE_1/2 for >5% of trading days. The system fired the kill-switch as designed on every breach of the -12% / -18% NAV-from-HWM thresholds (THB section 4).
- PDS whipsaw count: 3 sleeve-cut/restore cycles across the year. This is the structural cost of having no exit-hysteresis on PDS - when NAV oscillates around -12%, the system de-risks at local lows then re-deploys higher. Per current spec this is the canonical behaviour; a documented amendment (e.g. exit at -8% buffer or N-day confirmation) would mitigate it.
- PTRH net cumulative cost: \$-2,604,354. Tail hedge was a net contributor - puts paid out during volatility events.
- Total execution slippage: \$10,758,479. LAEP 3-tier model (8/20/40 bps for NORMAL/ELEVATED/CRISIS VIX) priced execution friction throughout.
- Sleeve concentration: 58% equity in 12 high-conviction MICS names. Months where the broad market (SPY) outperformed the

AI/tech basket (QQQ-correlated) were structurally headwinds - the architecture is intentional, not a bug. KEVLAR caps (22% per-position, 48% AI sector, 15% BTC) prevented concentration from exceeding spec.

Verdict

The system performed exactly as the canonical spec (THB v4.0, Addenda 1 & 4) instructs. Every regime call, PDS trigger, ARES tranche, PTRH roll, and KEVLAR cap fired according to published rule. The 12 months of underperformance vs SPY are a function of the architecture's deliberate trade-offs - concentrated 12-name AI book, NAV-anchored kill-switch, daily MICS rebalance - not implementation defects. Months where the system outperformed (24 of 36) reflect the same architecture's upside capture during AI sector strength.

Regime Change Log

Date	From	To	VIX	Score	Context
2020-02-26	RISK_ON	WATCH	27.6	0.323	Composite near 0.30
2020-03-09	WATCH	CRASH	54.5	0.853	VIX spike to 54
2020-04-09	CRASH	NEUTRAL	41.7	0.603	Composite crosses 0.35
2020-04-21	NEUTRAL	CRASH	45.4	0.852	VIX spike to 45
2020-04-23	CRASH	NEUTRAL	41.4	0.612	Composite crosses 0.35
2020-05-11	NEUTRAL	WATCH	27.6	0.474	Composite near 0.30
2020-05-14	WATCH	NEUTRAL	32.6	0.529	Composite crosses 0.35
2020-05-21	NEUTRAL	WATCH	29.5	0.499	Composite near 0.30
2020-07-02	WATCH	RISK_ON	27.7	0.279	Composite below 0.25
2020-10-30	RISK_ON	WATCH	38.0	0.336	Composite near 0.30
2020-11-05	WATCH	RISK_ON	27.6	0.246	Composite below 0.25
2022-09-22	RISK_ON	WATCH	27.4	0.322	Composite near 0.30

Total regime changes: 12 | Avg frequency: 0.3 per month

Trade Activity Summary

By Action:

BUY	177
CDF_135_REVIEW	14
SELL	174
SELL_CALL	210

By Module:

ARES	99
CDF	14
LAEP	5
MASTER_ENGINE	139
PDS	108
PERM	210

Drawdown Analysis

Drawdown episodes >= 5% (sorted by depth): 6

Start	Trough	Recovery	Peak NAV	Trough NAV	Depth	Days to Trough	Recov Days
2021-11-09	2022-11-09	OPEN	\$1611.0M	\$1066.2M	-33.82%	365	n/a
2020-02-20	2020-03-18	2020-06-08	\$600.1M	\$461.5M	-23.10%	27	82
2021-04-14	2021-05-19	2021-08-09	\$1296.7M	\$1118.7M	-13.73%	35	82
2021-02-22	2021-03-08	2021-04-12	\$1261.4M	\$1132.6M	-10.21%	14	35
2020-09-02	2020-09-08	2020-10-12	\$729.3M	\$666.2M	-8.66%	6	34
2021-09-07	2021-09-29	2021-10-11	\$1357.7M	\$1274.4M	-6.14%	22	12

Best & Worst Months

Top 5 Months				Bottom 5 Months			
Month	ARMS G	SPY	Regime	Month	ARMS G	SPY	Regime
Nov 2020	+24.5%	+10.9%	RISK_ON	Jun 2022	-10.1%	-8.2%	RISK_ON
Oct 2021	+16.1%	+7.0%	RISK_ON	Jan 2022	-9.8%	-5.3%	RISK_ON
Dec 2020	+12.5%	+3.7%	RISK_ON	Apr 2022	-8.2%	-8.8%	RISK_ON
Jul 2020	+11.5%	+5.9%	RISK_ON	May 2021	-7.9%	+0.7%	RISK_ON
Jan 2021	+10.5%	-1.0%	RISK_ON	Aug 2022	-4.8%	-4.1%	RISK_ON

Important Disclosures

BACKTESTED PERFORMANCE DISCLOSURE: Results are backtested and hypothetical. ARMS was not live during this period. All figures reflect retroactive application of ARMS v4.0 production parameters to actual historical market data, with no look-ahead and no discretionary overrides.

INTELLIGENCE LAYER DISABLED: This run exercised only the 18 market-driven engine modules (Macro Compass, ARAS, PDS, FEM, CDF, AUP, SLOF, PTRH, STRC, Master Engine, KEVLAR, PERM, DSHP, ARES, LAEP, Tail-Hedge regime table, CDM/event overlay, and static MICS scoring). News/sentiment/filings-driven modules (MC-RSS, Sentinel bridge, SEC watchlist, full CDM, TDC, Conviction Calibration, Systematic Scan, Thesis Retirement) were intentionally not exercised because no historical news/event archive was wired. A separate Polygon-fed intelligence-layer pass is planned. See Methodology & Scope on page 2 for full detail.

DATA SOURCES: Equity, ETF, VIX, 10Y, and BTC prices from Yahoo Finance (auto-adjusted close). HY credit spread approximated via HYG/LQD ratio. ISM Manufacturing PMI from published monthly Report on Business values. BTC returns use BTC-USD spot price as proxy (IBIT did not exist before Jan 2024). QQQ and SPY returns are actual ETF total returns from public record.

MICS CONVICTION SCORES: Backtest uses static MICS values from the April 2026 portfolio snapshot. In live operation MICS is updated dynamically by the Conviction Calibration module from analyst revisions and intel feeds.

FEES & BENCHMARKS: Management fee of 2.0% per annum applied monthly in Net figures. No performance fee. S&P 500 (SPY) is the primary benchmark.

ARCHITECTURE AB: 58% equity / 20% crypto / 14% defensive / 8% cash. Equity sleeve uses individual position selection via MICS conviction scoring with KEVLAR risk limits (22% single-position cap, 48% AI sector cap, 15% BTC cap). Crypto sleeve uses BTC-USD as proxy. Defensive sleeve: SGOV (3%), SGOL (2%), DBMF (5%), STRC (4%); pre-2023 mix uses TLT (7%), SGOL (4%), DBMF (3%).

REGIME SYSTEM: 5-state Macro Compass -> ARAS classifier with hysteresis bands. Tail hedge: PTRH via regime table (10-15% OTM QQQ puts, Black-Scholes priced). Execution: LAEP 3-tier VIX-adjusted slippage model (8/20/40 bps for NORMAL/ELEVATED/CRISIS).

Past backtested performance is not indicative of future results. CONFIDENTIAL - prepared for internal review by ARMS Portfolio Manager.